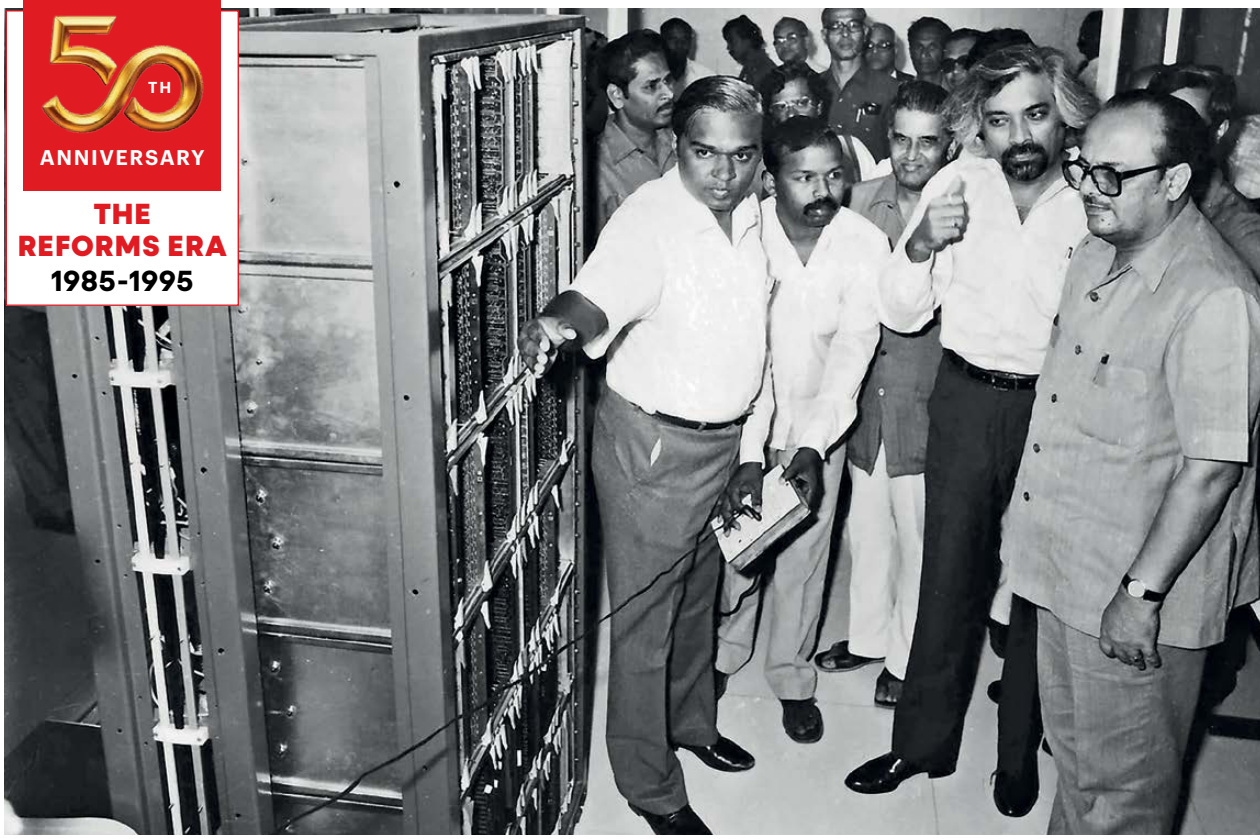
50TH ANNIVERSARY

THE REFORMS ERA 1985-1995

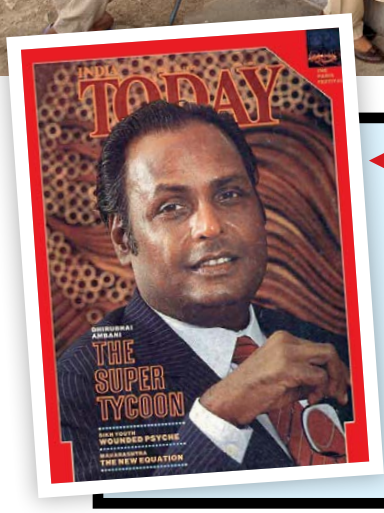


INDIA TODAY ARCHIVES



GETTY IMAGES

EARLY DAYS OF THE FUTURE
(Top) Sam Pitroda explaining the pluses of a new telephone exchange, 1987; an STD booth in rural north India



The Super Tycoon *Jun. 30, 1985*

"I am the bubble that burst," says Dhirubhai Ambani with a wicked gleam—recalling media forecasts a few years ago that his company, Reliance Textile Industries, was a "bubble that could burst". But the press has been wrong, his numerous critics have been wrong, and the doomsayers have finally fallen silent."

gave him a carte blanche. What followed was a dizzying series of structural reforms: liberalisation of state controls, a greater role for the private sector, greater integration with the world economy.

The dreaded 'Licence-Permit Raj'—a Kafkaesque vortex of hard-to-procure licences that had kept Indian businesses in semi-paralysis—was dismantled piece by piece. Anti-trust laws, made severely restrictive by the Indira-era Monopolistic and Restrictive Trade Practices Act, were eased. Foreign direct investment, up to 51 per cent, was allowed in 47 high-priority sectors—through the automatic route in as many as 34 of them, i.e. minimal need for prior government approval. The rupee was devalued in two steps, on July 1 and July 3, 1991. Import licensing was removed on most goods, freeing up trade.

Half a decade before India was inundated by the united colours of big global brands, including those of satellite TV, the Rajiv Gandhi government had first parted the curtains. It allowed industrial broad-